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Organization Design and Change

(Term I)

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Executive Summary

Zomato is an Indian online food aggregator and delivery platform, a part of the emerging hyperlocal delivery industry. While the parent company Eternal Limited is vast, this project analyses the organizational structure of Zomato's city-level operations unit. The unit typically comprises of 150-200 corporate employees including operations, logistics, sales, customer support and city management. Zomato operates in an intensively competitive e-commerce, hyperlocal delivery space where speed, coordination, technology usage, and service quality are key success factors.

Zomato currently operates under a matrix organizational structure combining three layers: business divisions (Food Delivery, Dining, Hyperpure, Blinkit), centralized functional departments (Technology, Finance, HR, Marketing, Legal, QA), and geographic city business units responsible for on-ground execution.

However, the assessment shows weaknesses in KSFs requiring rapid local adaptation—especially local market response, rider productivity optimization, customer service strength, and local restaurant partnerships. Dual reporting relationships between city managers and functional heads slow decision making, create accountability overlap, and reduce frontline autonomy. This leads to delays in approving local incentives, marketing initiatives, inventory adjustments, and service innovation pilots, limiting the organization's agility in a hyperlocal, demand-volatile market.

To address these gaps, a Light Matrix structure with empowered City Business Units (CBUs) is proposed. Under this design, each City BU Head has clear profit-and-loss ownership and authority over local pricing, promotions, staffing, fleet incentives, and partner management. Central functional teams become Centers of Excellence responsible for tools, standards, training, and compliance rather than daily operational control. Cross-functional city squads integrate operations, fleet management, sales, and technology roles to resolve service challenges rapidly and deliver continuous improvement. Incentives are aligned to city-level financial and service performance, removing departmental silos.

The proposed structure preserves Zomato's strengths in scale efficiency and governance while significantly improving speed, accountability, collaboration, and local responsiveness, achieving a stronger alignment between organizational design and the company's strategic operating environment.

1. Company Overview

Zomato (Eternal Ltd.) is an Indian online food ordering, delivery, and quick commerce platform, founded in 2008. It is a part of E-commerce / Food Tech / Hyperlocal Delivery industry. The company has its headquarters in Gurgaon, India. The corporate employee base is over 7,000 employees as of late 2025, but the overall network includes 500,000+ delivery partners, operating in 700+ cities and serve over 60+ million users monthly. We are analysing the organizational structure of Zomato's city-level operations unit.

Zomato rapidly grew from a functional startup to a complex organization with multiple business units (Food Delivery, Blinkit, Hyperpure, District), now operating under the centralized legal entity Eternal Limited. This is a Conglomerate Company structure at the top, allowing subsidiaries to operate autonomously.

2. Scope of Study

This project focuses on **Zomato's City Operations Unit** in a major Indian metro with around 150–200 employees, which functions as the core execution team driving daily service delivery, logistics management, and restaurant onboarding. This project evaluates the effectiveness of the current structure, its key success factors in the industry, pain points with the structure, and potential solutions for improving the company's organizational design.

3. Industry Analysis & Key Success Factors (KSFs)

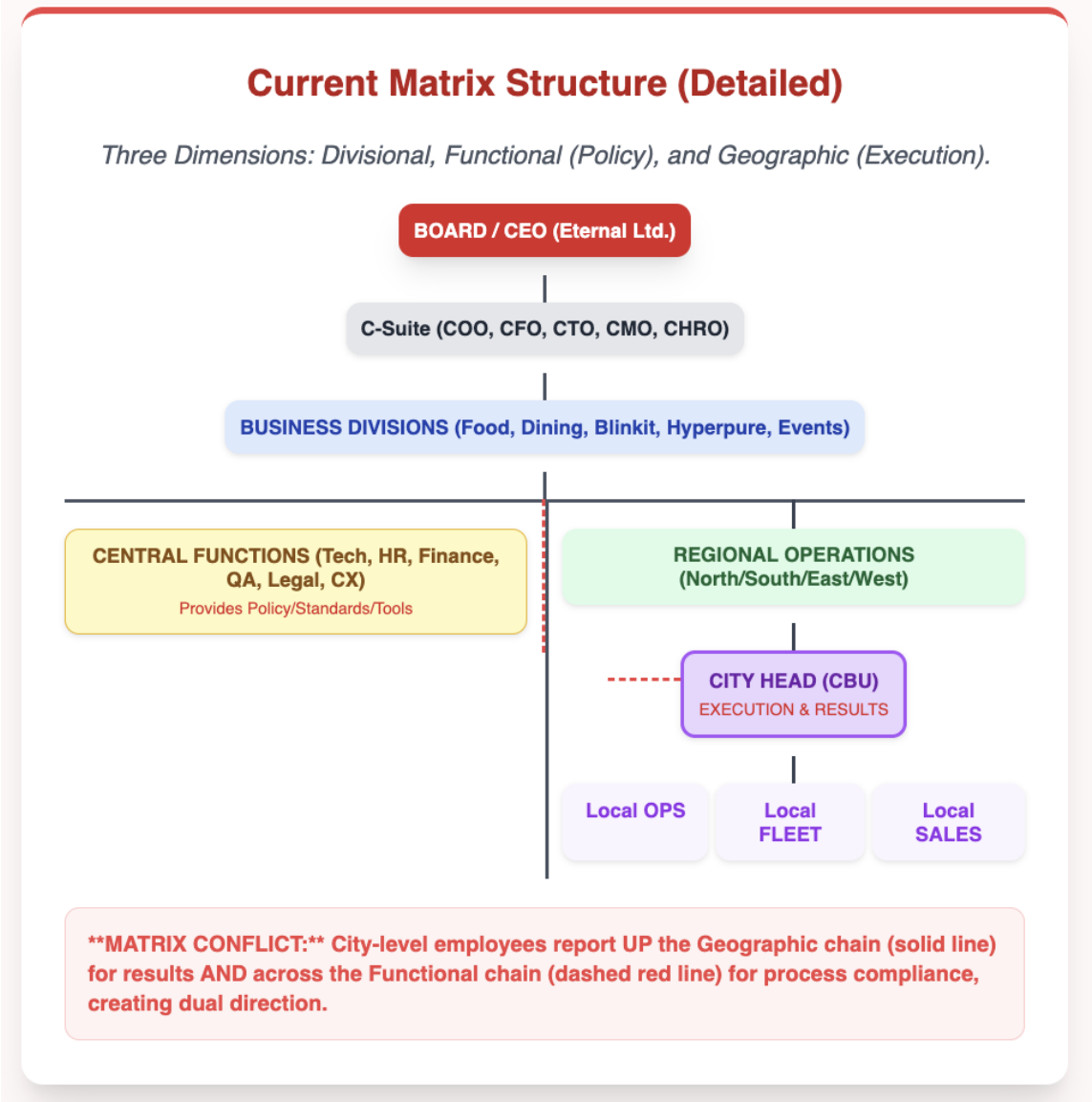
Zomato operates in hyper competitive food tech and Quick Commerce where performance depends on the following Key Success Factors:

Key Success Factor	Why It Drives Success
Fast delivery	Maintains customer satisfaction and repeat usage
Technology excellence	Supports scalability and cost efficiency
Large restaurant network	Enables high choice and retention

Rider productivity	Improves service speed while controlling costs
Customer service strength	Builds loyalty and reduces churn
Cost management	Determines profitability
Brand reputation	Attracts consumers and restaurants
Local market response	Adapts to city-specific conditions
Quality compliance	Prevents brand damage
Regulatory compliance	Sustains operational legality

4. Current Organizational Structure

Zomato uses a **Matrix Organizational Structure** combining divisional structure (by business line), functional structure (by specialization) and geographic structure (by city/region).



Dual Reporting:

Employees report to:

- **Functional heads (for skill standards, training, compliance)**
- **City business heads (for daily execution and results)**

5. Structure vs Industry KSFs

Key Success Factor	Structural Fit (How Zomato's current structure supports this KSF)	Effectiveness
Fast delivery	City Operations teams manage real time rider	High

	deployment and order dispatch, while operations team standardized routing processes.	
Technology excellence	Centralized technology and workforce that maintains Zomato's delivery algorithms, mobile platform, and analytics tools across all cities.	High
Large restaurant network	Dedicated restaurant acquisition and sales teams operate at central and city levels to onboard and maintain vendor partnerships.	Moderate
Rider productivity	Standardized rider onboarding, training, and incentive frameworks are managed centrally, while daily shifts are scheduled at the city level.	Moderate
Customer service strength	Central customer support teams provide standardized refund, complaint, and escalation processes via the app and call centres.	Moderate
Cost management	Finance and operations teams tightly control delivery incentives, discounts, marketing spends, and procurement through centralized budgeting systems.	High
Brand reputation	National marketing and brand teams execute large-scale advertising campaigns ensuring consistent brand presence across markets.	Moderate
Local market response	City managers monitor neighbourhood demand patterns and rider supply fluctuations.	Low
Quality compliance	Central quality assurance standards and food safety audits maintain hygiene expectations across restaurants nationwide.	Moderate
Regulatory compliance	Legal and compliance functions centrally enforce FSSAI rules, gig-worker compliance standards, and taxation processes consistently across regions.	High

6. Evaluation Summary

Zomato's matrix organizational structure effectively supports success factors requiring technological standardization, financial control, regulatory compliance, and large-scale execution. However, it is less effective in delivering the "local market response" and aspects of "rider productivity" and "customer service strength" because centralized decision authority limits the agility of city managers. This demonstrates the classical matrix trade-off between operational consistency and market responsiveness.

7. Pain Points in the Structure

7.1 Dual Reporting Confusion

Employees often receive **conflicting instructions** from:

- City Head (execution goals)
- Functional Manager (policy/process goals)

7.2 Slow Decision Making

- Pricing changes
- Incentive approvals
- Local marketing experiments

This requires escalation to central functions, delaying responses to real-time demand changes.

7.3 Incentive Mismatch

- Functional KPIs evaluate departmental performance
- City units are responsible for overall city profitability

This creates misalignment of motivations.

7.4 Innovation Bottlenecks

- New features (Gen-AI chatbots, restaurant recommendations, hyperlocal campaigns) depend on central tech prioritization.
- City teams lack authority to pilot local solutions.

7.5 Accountability Overlaps

When performance drops, responsibility becomes unclear:

- Tech blames operations
- Operations blame marketing
- City team lacks control to intervene

7.6 Employee Interview Insight (Primary Research)

As part of this project, the group conducted a short, semi-structured conversation with a Zomato City Operations Associate working in a Tier-1 metro. The purpose was to understand how the matrix reporting structure functions in real-time execution. Although the interview was informal, it provided candid insights into how structural frictions translate into daily operational challenges.

The employee explained that much of the frustration comes from the gap between **real-time visibility** and **very limited decision authority**:

"We can see a problem happening live on the dashboard — maybe rider supply dips in one zone or a restaurant cluster has a 20-minute preparation delay — but we cannot act immediately. Almost everything needs approval from the central function. By the time the approval comes, the situation has already escalated."

They described a recent example where a sudden office-crowd surge caused an unexpected spike in the business district:

"We wanted to activate a micro-incentive for riders for just 90 minutes in that one neighbourhood. It would have fixed the backlog immediately. But we had to send a request to central ops. They asked for data, then verification, then final approval. The spike cooled down in two hours — but the approval came after three."

When asked how dual reporting affects daily work, the employee elaborated:

"My city manager wants faster delivery and better NPS. My functional manager wants strict adherence to standard processes. If I optimise for one, I get questioned by the other. Eventually, people stop taking initiative because someone will always say you didn't follow procedure."

This created what the employee called a "responsibility paradox":

"The city team is held responsible for numbers they don't fully control. If delivery times go up, we get asked to explain — but we don't control rider

incentives or restaurant queues. It becomes very hard to feel ownership when the levers are not in your hands."

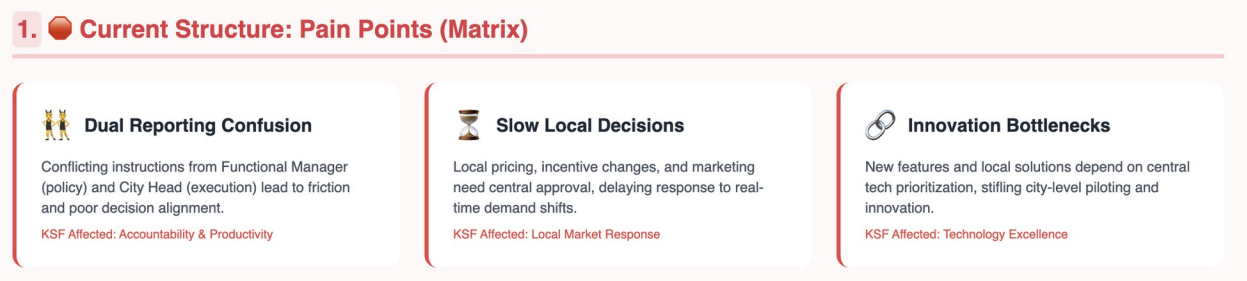
The interview strongly reinforces key pain points identified earlier: slow local decision-making, conflicting instructions, bottlenecks in incentives and onboarding, and the lack of city-level autonomy to respond to dynamic market conditions.

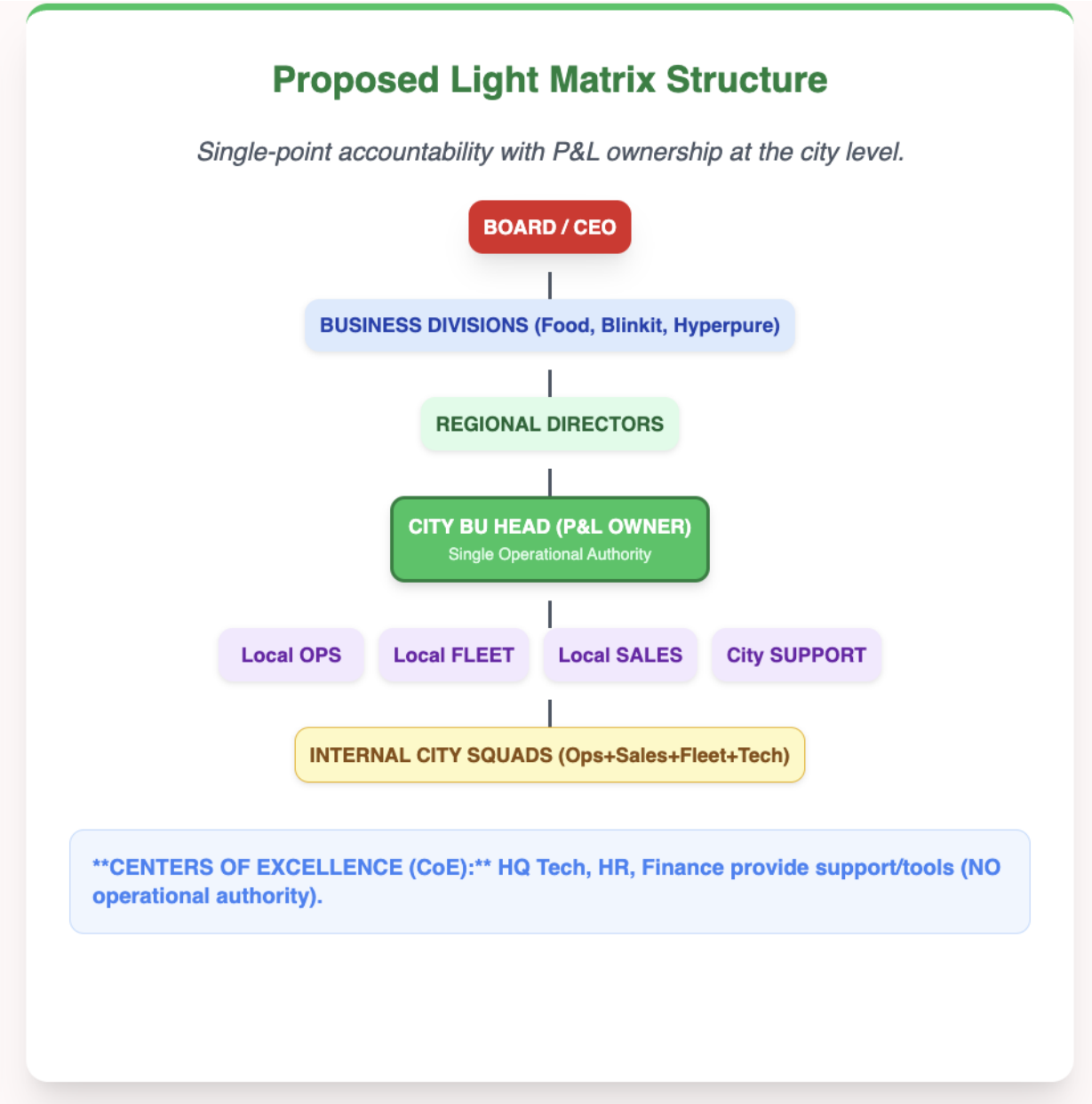
This insight forms an important grounding for the proposed shift toward **empowered City Business Units** in the next section.

8. Proposed Organizational Structure

8.1 Proposed organizational chart

This structure decentralises decisions like rider incentives, local restaurant onboarding, micro-promotions, rede scheduling, surge zone activation.





8.2 Proposed design objective

The new structure is designed to address Zomato's main organizational challenges:

Current Problem	Structural Solution
Dual reporting confusion	Single-point operational authority at city level
Slow local decision-making	City Business Units (CBUs) with P&L ownership
Weak local responsiveness	Decentralized pricing, incentives & promotions

Innovation bottlenecks	City-based cross-functional squads
KPI misalignment	Unified performance incentives tied to city outcomes

CURRENT PROBLEM	STRUCTURAL SOLUTION	OUTCOME & KSF BOOST
Dual Reporting Confusion	Single-point authority (City BU Head)	**Clear Accountability:** Faster decision-making on the ground.
Slow Local Decisions	CBUs with P&L ownership	**Increased Agility:** Rapid response to demand/supply shifts. (Boosts Local Market Response)
Innovation Bottlenecks	City-based cross-functional squads	**Local Innovation:** Ability to pilot new micro-promotions and service improvements quickly. (Boosts Technology Excellence)
KPI Misalignment	Unified incentives tied to city outcomes	**Silo Removal:** Teams collaborate toward a single, unified city-level goal (Profitability).

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